Executive Overview

All qualifying invoices · normalized product value · Dec 2009 – Nov 2011

Period: A / B / Select all = ...

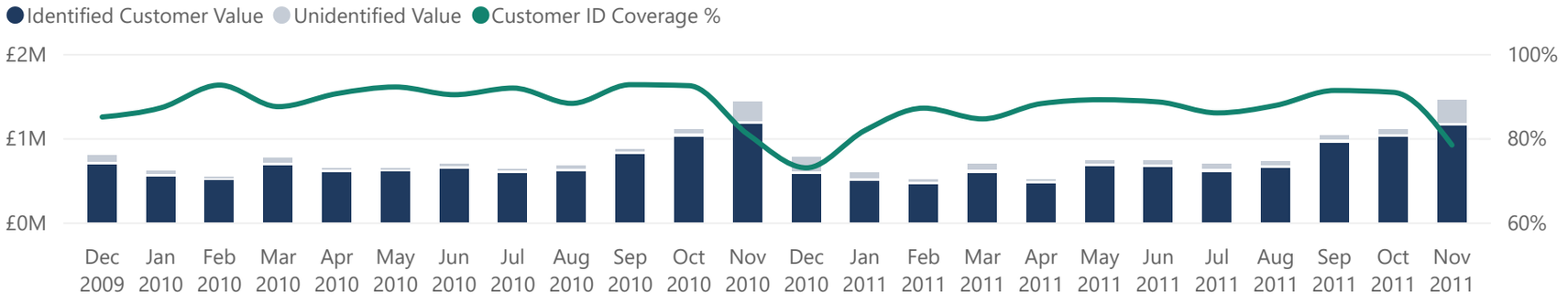
All

Period: A + B

1 Overview | 2 Drivers | 3 Retention | 4 Segments | 5 Decisions

Overall Product Value	Identified Customer Value	Customer ID Coverage	Net Recorded Value	Normalized Cancel. Ratio
£19.01M	£16.53M	87.0%	£18.54M	2.46% of £19.01M gross

Monthly product value: identified vs unidentified, with Customer ID coverage (always 24 months)



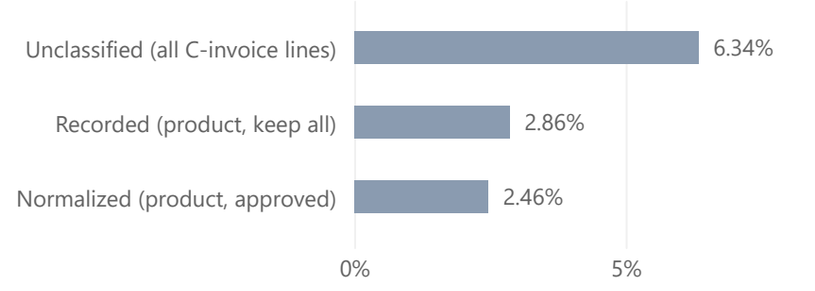
Value reconciliation (selected period)

Gross + Cancellations = Net; Net + Non-product = All-recorded Net

Measure	Selected period (£)
Normalized Gross Product Value	£19,008,278
Product Cancellation Adjustments	-£468,383
Net Recorded Product Value	£18,539,895
Non-product Charges & Adjustments	-£63,819
All-recorded Net Transaction Value	£18,476,076

Cancellation ratio under three definitions (selected period)

Each ratio has its own £ numerator and £ denominator; hover a bar for both



KEY BUSINESS INSIGHT

Fixed comparison: Period A vs Period B — not affected by the Period slicer

CONFIRMED Overall product value +1.6%, but identified-customer value −2.3%; value without a Customer ID +32% (coverage 88.7% → 85.3%).

WHY IT MATTERS Customer-level KPIs describe a shrinking share of activity.

CONFIRMED Unclassified cancellation ratio is 2–3× the normalized product ratio (B: 6.9% vs 2.4%).

INVESTIGATE Order sources behind invoices without a Customer ID.

Limitation: no channel field in the data; cancellation ≠ confirmed refund or return.

Net Recorded Value = Net Recorded Product Value · Normalized = excl. 2 extreme reversal pairs · Unidentified = no Customer ID · Cancellation ≠ confirmed refund/return · Dec 2011 (partial) excluded

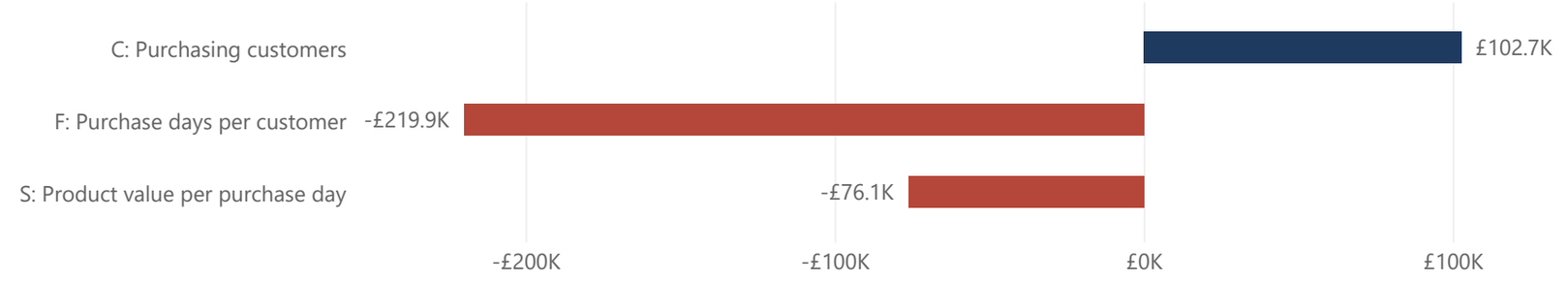
Commercial Performance & Drivers

Fixed comparison: Period B (Dec 2010 – Nov 2011) vs Period A (Dec 2009 – Nov 2010) · normalized product value

Overall Product Value	Identified Customer Value	Purchasing Customers	Purchase Days / Customer	Value per Purchase Day
+1.6%	-2.3%	+1.3%	-2.6%	-0.9%

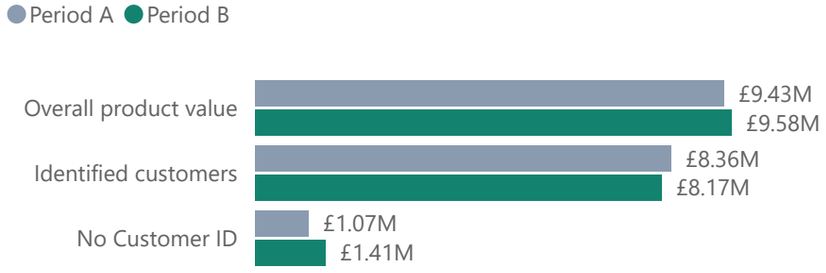
What moved identified-customer value? Arithmetic contribution, Period A → B (total −£193.2k)

Shapley decomposition of V = C × F × S · navy adds, red reduces · contributions sum exactly to the change · not causal



Product value by Customer ID status, Period A vs B

Overall = identified + no Customer ID · hover a bar for £ and % change



Purchasing activity of identified customers, Period A vs B

C × F × S = identified value; purchase day = customer × calendar day

Identified customers	Period A	Period B	Change
Purchasing customers (C)	4,239	4,292	+1.3%
Purchase days	16,200	15,972	-1.4%
Purchase days per customer (F)	3.82	3.72	-2.6%
Value per purchase day (S)	£516.29	£511.56	-0.9%
Identified value (C × F × S)	£8.36M	£8.17M	-2.3%

KEY BUSINESS INSIGHT

Fixed comparison: Period B vs Period A

CONFIRMED Overall product value +1.6%, but identified-customer value −2.3% (−£193k).

CONFIRMED The arithmetic decomposition assigns the largest negative contribution to purchase days per customer (−£220k); more purchasing customers added +£103k.

BUSINESS IMPLICATION Growth in purchasing customers did not offset fewer purchase days per customer and lower value per purchase day.

INVESTIGATE Purchasing-day patterns and order consolidation among the 2,707 customers active in both periods (purchase days −7.4%), and Customer ID capture.

Limitation: arithmetic attribution, not causation; it does not establish why purchasing behaviour changed.

Driver metrics: identified customers only · Purchase frequency = distinct purchase days, not invoices · Shapley = arithmetic attribution, not causation · Dec 2011 (partial) excluded

Customer Retention Intelligence

First-observed identified customers · fixed populations · full follow-up required (data to 8 Dec 2011)

90-day repeat · HEADLINE
40.9% of n = 4,305

365-day repeat · SUPPORTING
69.7% of n = 3,331

First repeat after day 90
41.7% (969 of 2,323)

Median days to repeat (90-day)
38 days

Cohort retention by first-observed month · blank = not yet observable

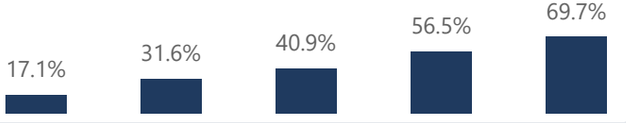
Cohort	Customers	M1	M3	M6	90d rate	Eligible	Note
Dec 2009	951	35.0%	42.5%	37.6%	59.3%	951	Observed base
Jan 2010	368	21.5%	31.5%	26.9%	52.5%	368	Rankable
Feb 2010	375	23.5%	29.3%	19.2%	47.7%	375	Rankable
Mar 2010	441	19.1%	24.3%	24.7%	41.3%	441	Rankable
Apr 2010	294	19.1%	16.0%	27.6%	38.1%	294	Rankable
May 2010	255	15.7%	17.7%	21.2%	33.7%	255	Rankable
Jun 2010	267	17.6%	20.6%	12.7%	34.5%	267	Rankable
Jul 2010	185	15.7%	29.7%	11.4%	43.2%	185	Rankable
Aug 2010	163	19.6%	32.5%	9.8%	49.7%	163	Rankable
Sep 2010	239	23.0%	13.0%	13.8%	43.1%	239	Rankable
Oct 2010	375	25.9%	12.5%	13.1%	38.4%	375	Rankable
Nov 2010	326	17.5%	9.5%	12.9%	30.1%	326	Rankable
Dec 2010	76	9.2%	9.2%	5.3%	15.8%	76	< 100 eligible
Jan 2011	72	16.7%	19.4%	15.3%	40.3%	72	< 100 eligible
Feb 2011	125	16.0%	18.4%	16.0%	32.0%	125	Rankable
Mar 2011	179	17.9%	20.1%	20.7%	39.7%	179	Rankable
Apr 2011	106	24.5%	19.8%	17.9%	37.7%	106	Rankable
May 2011	111	23.4%	16.2%	26.1%	39.6%	111	Rankable
Jun 2011	108	23.2%	26.9%		47.2%	108	Rankable
Jul 2011	101	20.8%	27.7%		50.5%	101	Rankable
Aug 2011	107	26.2%	26.2%		48.6%	107	Rankable
Sep 2011	188	27.1%			65.6%	32	Partial eligibility
Oct 2011	221	31.7%				0	Not yet eligible
Nov 2011	191					0	Not yet eligible

Like-for-like: same 3,331 customers



Second purchase within N days of the first

Excl. Dec 2009 base · n differs by window (tooltip)



Selected cohort · n/o = not yet observable

Click a cohort row

Cohort — Note —

Customers / 90-day eligi... — M1 · M3 · M6 —

90-day repeat —

KEY BUSINESS INSIGHT

Fixed populations · not affected by any selection

CONFIRMED 40.9% of first-observed customers repeat within 90 days (n = 4,305).

CONFIRMED On the same 3,331 customers: 40.6% within 90 days, 69.7% within 365; 41.7% of those repeaters first return after day 90.

WHY IT MATTERS The 90-day rate is an early signal, not a measure of whether customers return.

TENTATIVE Cohort differences may reflect seasonality and left-censoring, not declining loyalty.

INVESTIGATE Follow-up timing between day 90 and day 365.

Limitation: first observed ≠ new customer; only one Christmas season has 365-day follow-up.

Headline excludes the Dec 2009 observed base · 90-day (n = 4,305) and 365-day (n = 3,331) rates use different eligible customers and are not one group · all customers incl. base: 44.2% / 74.1%

Customer Value & Segmentation

Identified customers purchasing Dec 2010 – Nov 2011 · normalized gross product value · Group A and B fixed

Group A · customers	Group A · product value	F4 × V3 value share	Group B · customers	Group B · product value
2,707	£6.72M	49.8% · 196 customers	1,585	£1.45M

Group A segments: customers · share of Group A value

Purchase days	V1: < 500	V2: 500-1,999	V3: >= 2,000	Total
F1: 1 day	663 · 2.4%	132 · 1.6%	13 · 0.6%	**808 · 4.5%**
F2: 2-3 days	266 · 1.3%	490 · 6.9%	69 · 3.4%	**825 · 11.6%**
F3: 4-11 days	16 · 0.1%	424 · 8.1%	433 · 25.8%	**873 · 33.9%**
F4: 12+ days		5 · 0.1%	196 · 49.8%	**201 · 50.0%**
Total	**945 · 3.8%**	**1,051 · 16.7%**	**711 · 79.6%**	**2,707 · 100.0%**

Selected segment · click a matrix cell · nothing selected = all of Group A

All of Group A	2,707 (100.0%)	£6,717,076 (100.0%)	2,707 · £6.72M
Segment (F × V)	Customers (share of A)	Value (share of A)	Group A baseline (fixed)

Top-account sensitivity: F4 × V3 share of Group A value (scenarios, not KPI filters)



Group B: first observed in the window

By months observed · not ranked vs Group A

Months observed	Days	Customers	B value
1–3 months	1 day	397	10.4%
1–3 months	2+ days	203	14.1%
4–6 months	1 day	129	5.8%
4–6 months	2+ days	187	17.9%
7–12 months	1 day	275	6.6%
7–12 months	2+ days	394	45.3%

GROUP B · CONFIRMED

Started Sep–Nov 2011 (1–3 months observed): 397 of 600 have one purchase day so far. Observed 7–12 months: 394 customers with 2+ purchase days hold 45% of Group B value.

Judge Group B by observation time, not against Group A bands.

KEY BUSINESS INSIGHT

Fixed window Dec 2010 – Nov 2011 · segments: Group A only

CONFIRMED 196 Group A customers (7.2%) with 12+ purchase days and ≥ £2,000 hold 49.8% of Group A product value.

CONFIRMED Without the top 5 accounts the share is still 41.4%; its headline size depends materially on 5 accounts.

WHY IT MATTERS Observed product value is sensitive to a small number of accounts.

INVESTIGATE Value and purchase-day trend, Period A → Period B, for each F4 × V3 account.

Limitation: observed product value only — not profit, lifetime value, loyalty or a confirmed risk of losing customers.

Group A = first observed before Dec 2010 · Group B = first observed in the window (separate, not ranked vs A) · Period A/B are the two comparison years; Group A/B are tenure groups

Strategic Insights & Recommended Investigations

Overall value +1.6% but identified-customer value −2.3%; Group A value is concentrated · four investigations, in priority order

#1 I-1 Customer Value Concentration

View evidence → Page 4

HIGHEST · score 9 · INVESTIGATE

Finding CONFIRMED — 196 Group A customers (7.2%) hold 49.8% of Group A product value; 41.4% without the top 5 accounts.

Implication Observed product value depends on a small number of accounts.

Investigate Each F4 × V3 account's value and purchase-day trend, Period A → B, and possible commercial dependencies.

Limitation *Not profitability, lifetime value or a confirmed risk of losing customers.*

Data needed Account relationships, contracts, margins, customer engagement.

#2 I-2 Customer Identification Gap

View evidence → Page 1

HIGH · score 8 · INVESTIGATE

Finding CONFIRMED — value without a Customer ID rose 32.1% (£1.07M → £1.41M; 11.3% → 14.7% of value) while identified value fell 2.3%.

Implication Customer-level KPIs describe a shrinking share of activity.

Investigate The processes and transaction sources behind invoices without a Customer ID.

Limitation *No channel field: the cause (channel, capture change, guest orders) is an untested hypothesis.*

Data needed Order source, sales channel, account-capture process, system metadata.

#3 I-5 Cancellation Reporting Integrity

View evidence → Page 1

HIGH · score 8 · ACT: reporting rule

Finding CONFIRMED — Period B cancellation ratio is 6.91% unclassified, 3.15% recorded, 2.37% normalized; monthly spikes are often single invoices.

Implication An unclassified cancellation KPI overstates product cancellations 2–3×.

Action Standardise on the normalized product cancellation ratio; investigate abnormal cancellation events.

Limitation *A recorded cancellation is not a confirmed refund or return.*

Data needed Refund confirmation, return reasons, accounting treatment, operational logs.

#4 I-3 Purchase Frequency Contribution

View evidence → Page 2

HIGH · score 8 · INVESTIGATE

Finding CONFIRMED (arithmetic) — purchase days per customer contribute −£219.9k of the −£193.2k identified-value change.

Implication Customer count held up; purchase days per customer fell (−7.4% for the 2,707 customers active in both periods).

Investigate Purchasing-day patterns and ordering behaviour (basket size vs frequency) for those 2,707 customers.

Limitation *Arithmetic, not causal; does not indicate churn or reduced loyalty.*

Data needed Ordering schedules, sales channels, promotions, seasonality, operational changes.

Priority = Significance + Observation evidence + Actionability (1–3 each); ties broken by Significance, then explanation status. A decision-support heuristic, not a measured business-risk ranking.

Next analytical steps: top-account trend review · source of orders without a Customer ID · adopt the normalized cancellation KPI · basket size vs frequency for continuing customers.

Evidence: Pages 1–4 and the SQL analysis · no profitability, causal, channel, churn or marketing-ROI claims · financial benefits of actions are not estimated